

Equipment Lease - CBCT Imaging System

Prepared for diligence review. This document reflects original lease terms plus executed amendments and side letters currently in effect.

Lessor	Dental Capital Finance Ltd.
Lessee	123Dentist Better TestCo, Inc.
Asset	Cone Beam CT + panoramic diagnostic system
Installed Site	88 Bayview Avenue, Toronto, ON
Original Commencement	2023-04-01
Current Expiry	2028-03-31
Purchase Option	\$85,000 end-of-term buyout

Embedded Amendment History

Effective Date	Document	Commercial Change	Economic Impact
2024-05-10	Amendment No. 1	Service rider enhanced for uptime SLA and replacement head warranty.	Monthly reserve raised from \$450 to \$620 effective 2024-06-01.
2025-02-14	Amendment No. 2	Payment holiday for two months due to software calibration issue.	Deferred payments recaptured over next 10 months with 3.5% admin premium.
2025-09-22	Amendment No. 3	Residual value reset and buyout option revised.	Buyout reduced from \$102,000 to \$85,000 at maturity.

Base Rent and Additional Rent Step-Up Schedule

Lease Year	Base Rent / Month	Additional Rent / Month	Notes
2023	\$8,950	\$450	Initial lease payment + maintenance reserve
2024	\$9,129	\$620	2.0% payment step-up and amended service reserve
2025	\$9,312	\$620	Two-month holiday with recapture mechanism
2026	\$9,918	\$620	Recapture adds \$606 monthly through Nov 2026
2027	\$9,510	\$620	Post-recapture normalized payment
2028	\$9,700	\$620	2.0% payment step-up

Additional Clauses Frequently Flagged in Diligence

1. Holdover rent set at 150% of last month gross rent for first 60 days, then 200% thereafter.
2. Assignment and subletting subject to landlord consent; profit-sharing on sublease income above current rent.
3. CAM and tax reconciliations invoiced annually; tenant has 18 months to challenge with audit rights.
4. SNDA required for lender non-disturbance; estoppel certificate delivery within 10 business days.
5. Restoration obligations capped only where explicitly amended; otherwise full restoration standard applies.

Diligence Watch Items

1. Payment holiday recapture impacts lease expense comparability between 2025 and 2026.
2. Residual/buyout amendment affects potential purchase accounting assumptions.
3. Service reserve increase is not separately capped and should be normalized in run-rate review.

Execution Blocks (abbreviated for diligence package)

Landlord: _____ Date: _____

Tenant: _____ Date: _____